

Building price pressures

- Inflation data *released this week* were broadly hawkish, pointing to signs of building price pressures. We have revised up our core PCE tracking estimate to 0.300% m-o-m, which translates to 3.3% y-o-y, significantly above the Fed's target.
- Fedspeak this week continued to show waning support for an easing bias. We expect the April FOMC minutes will show "many" participants either directly advocating a shift to more neutral guidance or at least indicating they could have supported an adjustment.
- Retail sales were strong in April despite headwinds from the Iran war. We believe steady consumption and strong business investment will lead to an acceleration in real GDP growth in Q2.

April inflation data boosted by technical factors

Core CPI inflation surprised to the upside, rising by 0.376% m-o-m in April (Nomura: 0.287%, Consensus: 0.3%). Our forecast miss was primarily attributable to stronger rent-related components, as well as to airline fares. As we had expected, regular rent and owners' equivalent rent (OER) inflation were boosted by the positive payback of the BLS's carry-forward imputation last fall, but there was also some unexpected incremental strength as well. Stripping out those components, the underlying inflation trend does not appear to have changed materially.

PPI's portfolio management and investment advice prices, a key input into core PCE inflation, declined more than we had expected. Taking CPI, PPI, and import prices into account, *our forecast for April core PCE inflation* was revised to 0.300% m-o-m (or 3.3% y-o-y) (*Fig. 1 & Fig. 2*), slightly up from our forecast of 0.284% m-o-m at the beginning of this week.

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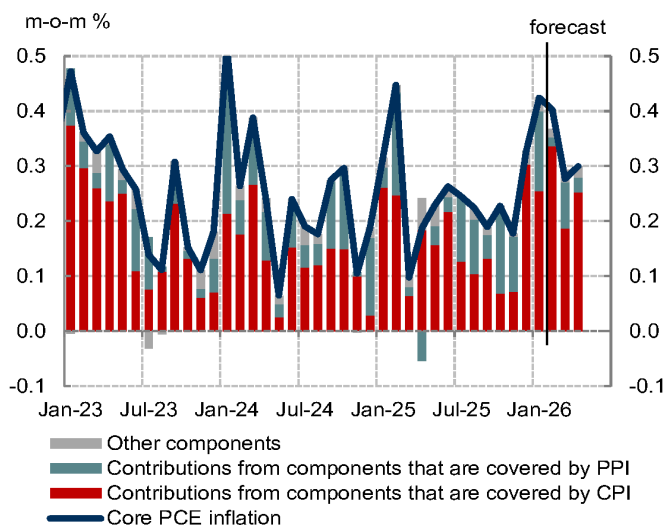
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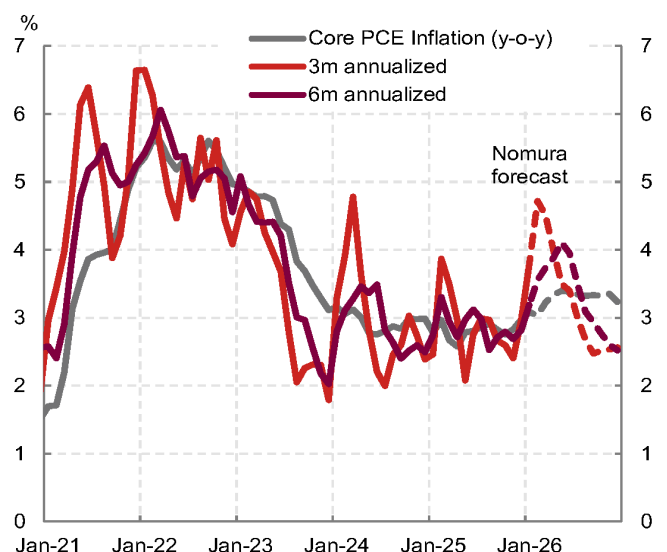
Fig. 1: Core PCE inflation likely remained elevated at 0.300% m-o-m in April

Decomposition of m-o-m core PCE inflation by data source



Source: BLS, BEA, Haver, Nomura

Fig. 2: Y-o-y core PCE inflation likely rose by 3.3% in April



Note: All Nomura forecasts are modal.
Source: BEA, Haver, Nomura

Signs of building price pressures

See [Appendix A-1](#) for analyst certification, important disclosures and the status of non-US analysts.

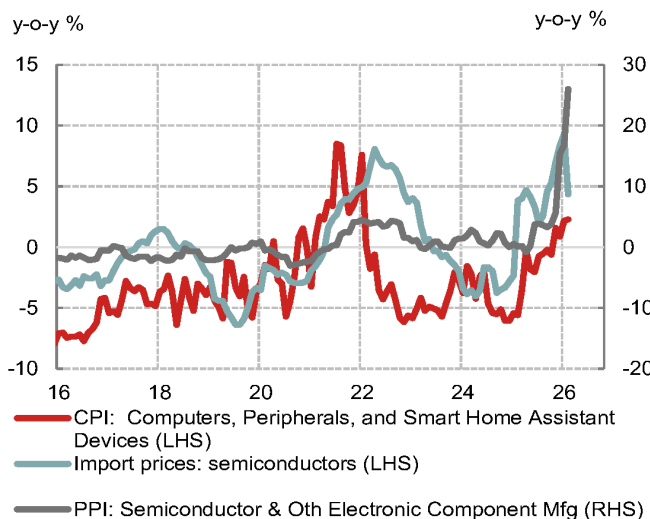
While the drivers of elevated inflation in April are likely to prove temporary, details of CPI, PPI, and import prices confirmed growing upside risks to the medium-term inflation outlook.

Tech-related components are emerging as a new source of inflation, offsetting some slowdown in tariff-sensitive consumer goods. CPI's information technology commodities, including computers and computer software, continued to rise in April. A further rise in semiconductor prices measured by PPI indicates a growing pipeline of inflationary pressures on consumers' electronics (*Fig. 3*).

Spillovers from energy shocks caused by the Iran war appear to be materializing. PPI's price index for rubber and plastic products jumped in April. PPI's truck transportation prices rose at their fastest pace in the series' two-decade history, driven by higher fuel costs as well as limited capacity in the truck industry.

On an aggregate basis, PPI data show cost pressures on domestic manufacturers kept intensifying (*Fig. 4*) as prices for processed materials and components prices for manufacturing registered a 2.0% m-o-m increase in April, following 1.0% and 1.1% advances in the two price months. These price increases are consistent with the recent strengthening of prices paid indices in regional and nationwide factory surveys. PPI's prices for finished consumer goods suggest these cost increases are beginning to be passed on to customers after several months of margin pressure.

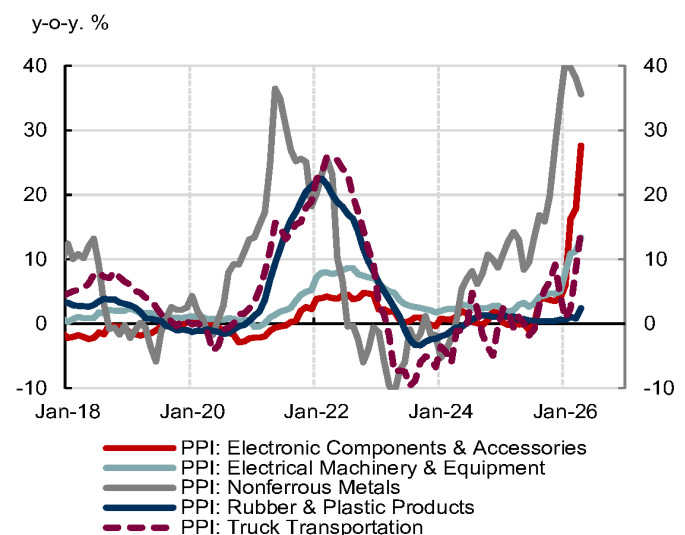
Fig. 3: Prices for tech-related components have risen sharply across various measures



Source: BLS, Haver, Nomura

Fig. 4: Certain materials and components for manufacturers continued to rise strongly on a y-o-y basis

y-o-y changes of selected PPI data

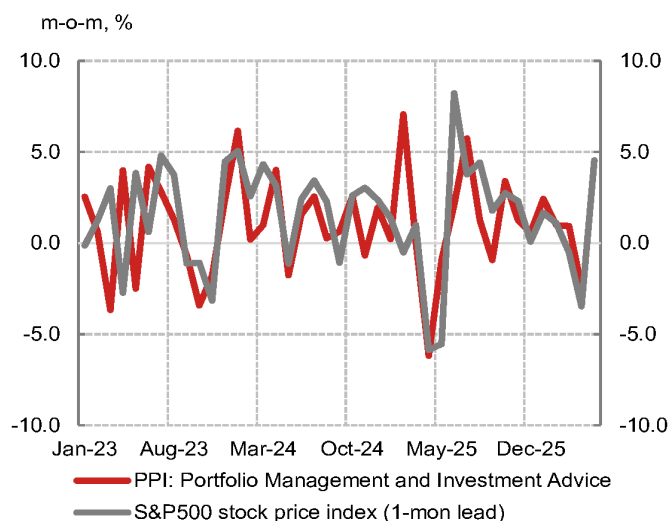


Source: BLS, Haver, Nomura

Services inflation also appear to be picking up. PCE price components that are derived from PPI data will likely accelerate in the months following April. We expect portfolio management and investment advice prices to rebound in May given the recent strong performance of stock prices (*Fig. 5*). Airline fares in both CPI and PPI are likely to continue to rise in the next few months on the back of higher jet fuel prices (*Fig. 6*).

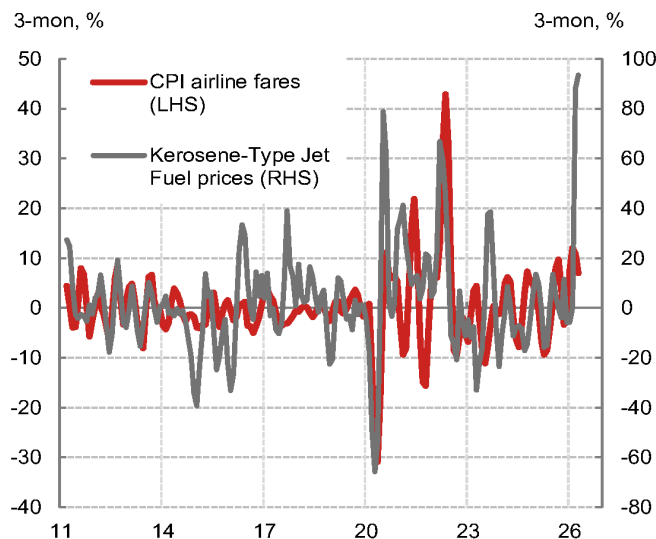
Fig. 5: We expect portfolio management and investment advice prices to rebound in May given the recent strong performance of stock prices

Stock prices and PPI's portfolio management and investment advice prices



Source: BLS, Haver, Nomura

Fig. 6: Jet fuel prices have risen lately, and this could push airline fares higher in the coming months



Source: BLS, EIA, Haver, Nomura

Developments on the FOMC

Kevin Warsh was confirmed as the next Fed chair in a 54-45 Senate vote, representing the slimmest Senate support for a Fed chair in history (*Fig. 7*).

Fedspeak this week was consistently hawkish. *Boston Fed President Collins* leaned hawkish, emphasizing the persistence of inflation and stating that more than five years of above-target inflation had reduced her patience for looking through another supply shock. She stressed the importance of returning inflation to target in a reasonable amount of time. *KC Fed president Schmid* also cited inflation as the "most pressing risk to the economy." Governor Barr also echoed the hawkish sentiment in his remarks, stating that inflation is an "overwhelming risk." NY Fed President Williams referred to supply chain disruptions as the New York Fed's Global Supply Chain Pressure Index started to rise.

This hawkish lean may be reflected in the *April FOMC* meeting minutes scheduled for release next week. We expect the minutes will show "many" participants either directly advocating a shift to more neutral guidance or at least indicating they could have supported an adjustment. Three voters dissented against the easing bias (presidents Hammack, Logan, and Kashkari), and two additional non-voting officials (Collins and Musalem) have subsequently indicated they would have preferred to change the guidance. The minutes first showed this discussion in January, with "several" participants advocating for a change. This subsequently increased to "some" in the March minutes.

The *NY Fed released* its T-bill purchase schedule for May and June. The pace of reserve management purchases (RMP) will slow to \$10bn per month, from \$25bn previously. This was well below both our forecast and the primary dealer survey median of \$20bn (*Fig. 8*). Note, the Fed initially announced RMPs last year at a pace of \$40bn per month, before slowing to \$25bn in April and May.

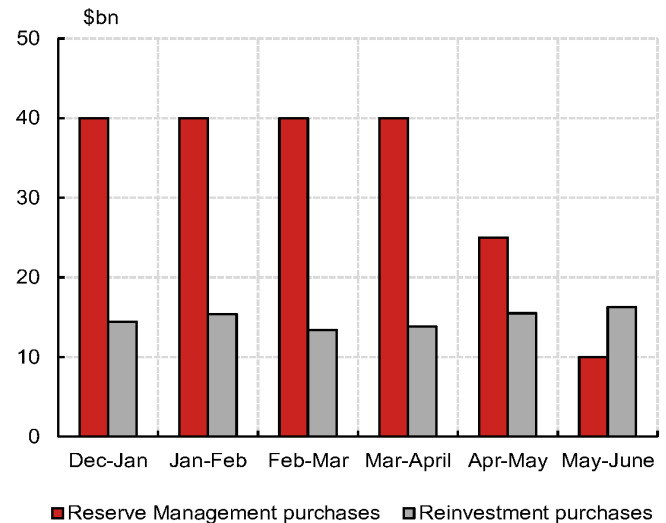
We continue to expect trend balance sheet growth of \$20bn per month in the medium term. However, this reduction suggests the NY Fed may allow purchases to undershoot temporarily during periods of softer seasonal demand.

Fig. 7: Warsh's confirmation represents the Senate's slimmest support for a Fed chair

US Senate confirmation for Fed Chair

Year	Nominee	Yes	No
1979	Paul Volcker	98	0
1983	Paul Volcker	84	16
1987	Alan Greenspan	91	2
1992	Alan Greenspan	Unanimous	
1996	Alan Greenspan	91	7
2000	Alan Greenspan	89	4
2006	Ben Bernanke	Unanimous	
2010	Ben Bernanke	70	30
2014	Janet Yellen	56	26
2018	Jerome Powell	84	3
2022	Jerome Powell	80	19
2026	Kevin Warsh	54	45

Source: FRB, Nomura

Fig. 8: The pace of RMPs will slow to \$10bn/ month, from \$25bn previously below our and consensus forecast of \$20bn

Source: NY Fed, Nomura

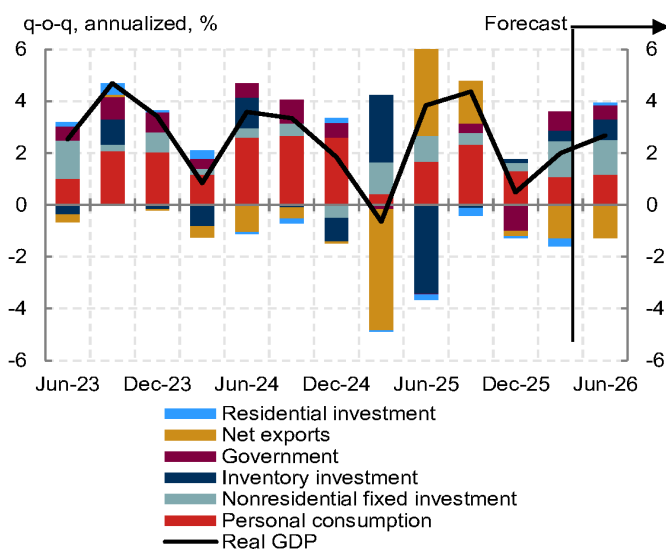
Data suggest resilience in domestic demand

Retail sales remained strong in April, with upward revisions to the control group in prior months. Strength was broad-based, suggesting that higher gasoline spending has not weighed on demand for other components thus far. It appears that higher-than-usual tax refunds, coupled with strong income growth, have more than offset headwinds from the Iran war.

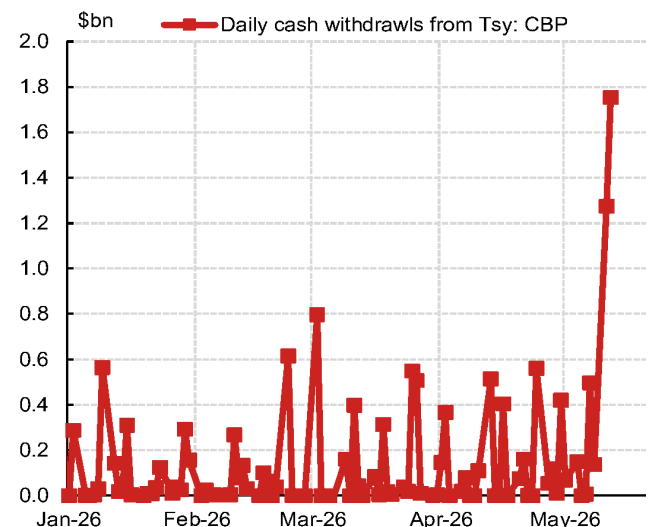
We initiated our Q2 GDP tracking this week, and we expect growth accelerated in Q2 (Fig. 9). Our tracking estimate stands at 2.7% q-o-q ar. We expect real final sales to private domestic purchasers accelerated to 2.9% in Q2, driven by resilient personal consumption and continued strength in business capex.

Fig. 9: We expect real GDP growth to accelerate in Q2 due to robust fixed investment and steady personal consumption

Decomposition of real GDP growth



Source: BEA, Haver, Nomura

Fig. 10: The administration has started to process tariff-refunds and issue payments to importers

Source: US Treasury, Haver, Nomura

Tariff refunds

Media reports indicate the administration has processed \$35.5bn in tariff refunds for several importers, clearing the way for Treasury to issue payments. CBP-related withdrawals from the Treasury have picked up recently (*Fig. 10*), suggesting the process is moving swiftly.

Tariff refunds will provide an additional fiscal boost to businesses on top of the stimulus already in place from the OBBBA. The cash flow support could lift investment and hiring, or help firms absorb tariff- and energy-related cost pressures. On the other hand, faster refund issuance would likely widen the deficit in the current fiscal year.

President Trump's China trip

President Trump met with President Xi in China this week. There were few concrete developments on trade or the Iran war. Treasury Secretary Bessent floated two initiatives discussed during Trump's China trip. This included a Board of Investment to channel China-based firm investment into the US, particularly in non-strategic sectors. In addition, Bessent proposed a Board of Trade that could include removing tariffs on \$30bn of imports in non-sensitive trade categories.

Fig. 11: Nomura's inflation forecasts

	Headline PCE		Core PCE			Headline CPI		Core CPI			CPI NSA
	m/m %	y/y %	m/m %	y/y %	qtrly, y/y %	m/m %	y/y %	m/m %	y/y %	qtrly, y/y %	Index
Jan-25	0.35	2.61	0.31	2.78		0.43	3.00	0.43	3.26		317.671
Feb-25	0.40	2.71	0.45	2.97		0.23	2.82	0.25	3.12		319.082
Mar-25	0.02	2.36	0.10	2.67	2.81	0.03	2.39	0.07	2.79	3.08	319.799
Apr-25	0.17	2.28	0.19	2.61		0.16	2.31	0.24	2.78		320.795
May-25	0.18	2.46	0.23	2.78		0.10	2.35	0.13	2.79		321.465
Jun-25	0.29	2.59	0.26	2.81	2.74	0.25	2.67	0.23	2.93	2.82	322.561
Jul-25	0.17	2.61	0.25	2.86		0.23	2.70	0.31	3.06		323.048
Aug-25	0.26	2.75	0.22	2.91		0.35	2.92	0.31	3.11		323.976
Sep-25	0.26	2.79	0.19	2.83	2.87	0.30	3.01	0.22	3.02	3.06	324.800
Oct-25	0.19	2.71	0.23	2.75		0.03	2.76	0.11	2.81		324.372
Nov-25	0.22	2.82	0.18	2.83		0.22	2.74	0.08	2.63		324.122
Dec-25	0.33	2.88	0.33	2.97	2.85	0.30	2.68	0.23	2.64	2.69	324.054
Jan-26	0.33	2.86	0.42	3.08		0.17	2.39	0.30	2.50		325.252
Feb-26	0.38	2.83	0.40	3.04		0.27	2.41	0.22	2.46		326.785
Mar-26	0.66	3.50	0.28	3.22	3.11	0.87	3.26	0.20	2.60	2.53	330.213
Apr-26	0.464	3.804	0.300	3.338		0.64	3.81	0.38	2.75		333.020
May-26	0.41	4.04	0.29	3.40		0.53	4.28	0.26	2.88		335.230
Jun-26	0.21	3.96	0.25	3.38	3.37	0.23	4.26	0.26	2.90	2.84	336.287
Jul-26	0.16	3.94	0.21	3.34		0.13	4.16	0.22	2.81		336.494
Aug-26	0.18	3.86	0.20	3.32		0.17	3.96	0.22	2.71		336.811
Sep-26	0.20	3.80	0.20	3.33	3.33	0.21	3.85	0.22	2.71	2.75	337.298
Oct-26	0.15	3.75	0.22	3.32		0.10	3.91	0.22	2.83		337.040
Nov-26	0.21	3.74	0.21	3.35		0.23	3.88	0.22	2.97		336.707
Dec-26	0.24	3.65	0.21	3.23	3.30	0.28	3.82	0.22	2.95	2.92	336.445
Jan-27	0.19	3.50	0.25	3.06		0.17	3.83	0.27	2.92		337.723
Feb-27	0.11	3.23	0.20	2.85		0.04	3.61	0.20	2.90		338.590
Mar-27	0.20	2.76	0.20	2.77	2.89	0.20	2.96	0.20	2.90	2.91	339.986
Apr-27	0.11	2.39	0.20	2.67		0.04	2.34	0.19	2.72		340.822
May-27	0.15	2.13	0.20	2.59		0.12	1.91	0.19	2.65		341.640
Jun-27	0.16	2.07	0.20	2.53	2.60	0.14	1.82	0.19	2.57	2.65	342.416
Jul-27	0.17	2.09	0.19	2.52		0.14	1.83	0.19	2.54		342.669
Aug-27	0.19	2.10	0.19	2.50		0.19	1.86	0.18	2.50		343.076
Sep-27	0.21	2.11	0.19	2.48	2.50	0.23	1.89	0.18	2.47	2.50	343.660
Oct-27	0.15	2.11	0.19	2.45		0.12	1.91	0.18	2.43		343.480
Nov-27	0.21	2.11	0.18	2.43		0.23	1.93	0.18	2.38		343.199
Dec-27	0.24	2.11	0.18	2.40	2.43	0.30	1.96	0.18	2.34	2.38	343.039

Note: Oct and Nov CPI refers to Nomura's estimate. February and March PCE refer to Nomura's forecast.

Source: BEA, BLS, Haver, Nomura

Data Preview

The week ahead

We expect the April FOMC meeting minutes to reflect waning support for the Fed's easing bias.

NAHB housing market index (Monday): We expect the NAHB Housing Market Index remained subdued at 35 in May, up slightly from 34 in April. Although mortgage rates ticked down during the survey reference period, elevated uncertainty coupled with rising building material costs continued to weigh on builder sentiment.

Pending home sales (Tuesday): We expect pending home sales rose 1.0% m-o-m in April, following a 1.5% m-o-m increase in March. Weekly data from Redfin suggest pending home sales growth slowed in April as elevated mortgage rates and the Iran war kept buyers on the sidelines.

FOMC meeting minutes (Wednesday): The minutes to the *April FOMC meeting* are likely to reflect waning support for the Fed's easing bias. We expect the minutes will show "many" participants either directly advocating a shift to more neutral guidance or at least indicating they could have supported an adjustment. Three voters dissented against the easing bias (presidents Hammack, Logan, and Kashkari), and two additional non-voting officials (Collins and Musalem) have subsequently indicated they would have preferred to change the guidance. In his post-meeting press conference, Chair Powell said that the number of people who could support a change to the guidance language "has increased over the intermeeting period." The minutes first indicated this discussion in January, with "several" participants advocating for a change. This subsequently increased to "some" in the March minutes.

Data were consistently hawkish in the run-up to the April meeting. March core PCE inflation rose 0.293% (this was released shortly after the April meeting, but was close to preliminary estimates). The Iran war continued to threaten global energy supplies, and lead indicators for inflation showed a building pipeline of price pressure. Meanwhile, employment data was robust, with nonfarm payrolls surging higher in March alongside an acceleration in ADP private employment and a move lower in initial and continuing jobless claims. We expect officials remained optimistic about inflation returning to target in the medium term, but they likely acknowledged growing upside risks to inflation and diminishing downside risks to full employment.

Jobless claims (Thursday): Initial and continuing claims rose this week, partly reversing a steep decline since mid-April. The level of claims has remained subdued lately, which is surprising at a time of year when there has tended to be some slight positive seasonality.

Housing starts (Thursday): We expect housing starts slowed to 1430k in April from 1502k in March. Both single-family and multifamily starts likely slowed, following a sharp increase in March. Lead indicators, including building permits and home sales suggest activity is likely to pick up in Q2 following a slowdown in Q1. Building permits likely ticked up to 1390k, driven by a strong rebound in multifamily sector.

Philly Fed survey (Thursday): The Philly Fed Manufacturing Index likely fell in May, reversing the pickup in April. General business conditions likely ticked down as firms remained pessimistic and price pressures continued.

S&P PMI's (Friday): We expect the preliminary print of the S&P manufacturing PMI ticked down in May. Input prices remained elevated due to the Iran war. Output and new orders likely slowed, but remained in expansionary territory.

The preliminary print of the S&P services PMI likely improved in May. We expect price pressures continued to weigh on activity, while the employment index remained in expansionary territory.

University of Michigan consumer sentiment (Friday): We expect the final print of the University of Michigan consumer sentiment index remained essentially unchanged at 48.4 from its preliminary print of 48.2. Survey responses were collected from 4 May to 18 May, during which energy prices continued to rise. High frequency data from the SF Fed Daily News Sentiment Index and Morning Consult also suggest sentiment remained subdued.

Fig. 12: Forecasts for economic indicators released during the week of 18 May

Monday 18 May		Units	Period	Prev 2	Prev 1	Last	Nomura	Consensus
10.00	NAHB housing market index	Index	May	37	38	34	35	34
Tuesday 19 May								
10.00	Pending home sales	% m-o-m	Apr	-1.0	2.5	1.5	1.0	1.6
Wednesday 20 May								
7.00	Mortgage applications	% w-o-w	15-May	-1.6	-4.4	n.a.	n.a.	n.a.
13.00	20-yr Bond auction	\$bn					16	
14.00	FOMC meeting minutes		Apr					
Thursday 21 May								
8.30	Initial jobless claims	000s	16-May	190	200	n.a.	n.a.	n.a.
8.30	Continuing jobless claims	000s	9-May	1776	1766	n.a.	n.a.	n.a.
8.30	Housing starts	000s	Apr	1398	1356	1502	1430	1420
8.30	Housing starts	% m-o-m	Apr	1.8	-3.0	10.8	-4.8	-5.5
8.30	Building permits	000s	Apr-Pre	1386	1538	1363	1390	1385
8.30	Building permits	% m-o-m	Apr-Pre	-4.7	11.0	-11.4	2.0	1.6
8.30	Philly Fed survey	Index	May	16.3	18.1	26.7	n.a.	12.0
13.00	10-yr TIPS auction	\$bn					19	
Friday 22 May								
9.45	S&P Manufacturing PMI	Index	May-Pre	51.6	52.3	54.5	n.a.	n.a.
9.45	S&P Services PMI	Index	May-Pre	51.7	49.8	51.0	n.a.	n.a.
10.00	U of M consumer sentiment	Index	May-Fin	53.3	49.8	48.2	48.4	n.a.
10.00	U of M 5-10yr inflation expectations	%	May-Fin	3.2	3.5	3.4	n.a.	n.a.

Note: Eastern Daylight Time (EDT). All Nomura forecasts are modal.

Source: Haver, Bloomberg, Nomura

US Economic Outlook

We expect Fed cuts in **September and December**. Diminishing near-term political pressure and price pressures from the Iran war point to risks of fewer or later cuts.

Economic activity: Growth momentum has accelerated, supported by easing tariff uncertainty, fiscal stimulus from the One Big Beautiful Bill Act, and the lagged impact of Fed rate cuts amid easy financial conditions. **Business investment appears to be broadening beyond the AI sector**. Higher tax refunds and strong payroll income growth has supported consumer spending thus far, despite headwinds from the Iran war. A broad range of indicators point to resilience and tentative signs of reacceleration in the labor market. We expect the unemployment rate will begin to decline, reaching 4.1% by year-end. We think that the US economy remains relatively insulated from **the crude oil price shock due to the Iran war** given the small share of energy-goods consumption in household spending, as well as domestic energy production.

Inflation: Core inflation remains well above the Fed's 2% target, and we believe risks are skewed to the upside. We forecast Q4 2026 core PCE inflation of 3.2% y-o-y. We expect tariff price pressures will diminish in the coming quarters. However, supply shortages caused by AI (memory chips, electricity, etc.) along with higher metal prices could exert new inflationary pressures on goods prices. Wage growth seems to have leveled off around 4%, which is likely to lead to stickiness in supercore service inflation. We expect rent disinflation to continue, but at a very gradual pace.

Policy: We forecast two cuts in H2 2026, in **September and December**. Although a growing chorus has advocated for near-term patience, most officials have maintained an easing bias. In addition, FOMC officials have tended to look past strong realized inflation while reacting aggressively to any sign of labor market weakness. This asymmetry makes cuts more likely than not. However, risks are skewed to fewer or later cuts, primarily due to price pressures from the Iran war. On tariffs, wider Section 122 exemptions, lower tariff rates, and a greater focus on affordability suggest **limited further escalation** in US trade policy.

Risks: Further escalation of geopolitical risks could lead to a tightening of financial conditions and worsening of the fiscal outlook. Increased political pressures on individual FOMC participants could undermine the Fed's credibility, soliciting sharp market reactions. A bust of the AI boom could lead to material corrections in asset valuations. A continued shortage of memory chips and supply chain disruption due to a protracted Iran war could lead to a second round of goods price increases.

Fig. 13: United States: Details of the forecast

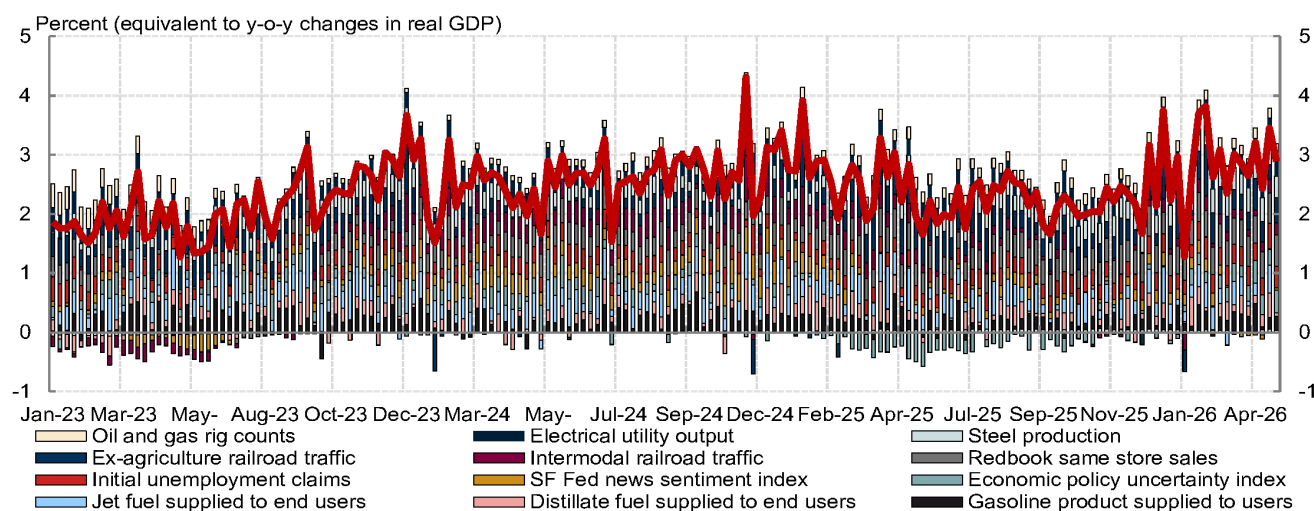
%			1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27	% y-o-y			% Q4/Q4		
			q-o-q												2025	2026	2027	2025	2026	2027
		(%, a.r.)	-0.6	3.8	4.4	0.5	2.0	2.7	2.1	1.9	1.9	1.8	1.6	1.6	2.1	2.3	1.9	2.0	2.2	1.8
Real GDP		(%)	-0.2	0.9	1.1	0.1	0.5	0.7	0.5	0.5	0.5	0.4	0.4	0.4						
Personal consumption		(%, a.r.)	0.6	2.5	3.5	1.9	1.6	1.7	1.9	1.8	1.7	1.7	1.5	1.5	2.6	2.0	1.7	2.1	1.8	1.8
Nonresidential fixed invest		(%, a.r.)	9.5	7.3	3.2	2.4	10.4	9.9	4.5	3.6	3.4	2.5	2.5	2.5	4.1	6.5	3.7	5.6	7.0	5.3
Residential fixed invest		(%, a.r.)	-1.0	-5.1	-7.1	-1.7	-8.0	2.5	3.2	3.0	2.8	2.8	2.5	2.5	-2.2	-2.6	2.8	-3.8	0.1	2.9
Government expenditure		(%, a.r.)	-1.0	-0.1	2.2	-5.6	4.4	3.3	0.9	0.9	0.9	0.9	0.9	0.9	1.1	1.0	1.1	-1.2	2.4	1.5
Exports		(%, a.r.)	0.2	-1.8	9.6	-3.2	12.9	6.3	2.3	2.3	2.3	2.3	2.2	2.1	1.6	5.1	2.5	1.1	5.8	3.3
Imports		(%, a.r.)	38.0	-29.3	-4.4	-1.0	21.4	15.2	3.5	3.3	2.8	2.5	2.3	2.0	2.7	5.3	3.5	-1.9	10.6	6.1
Contributions to GDP:																				
Final sales		(pp., a.r.)	-3.2	7.3	4.5	0.3	1.6	1.9	1.9	1.8	1.8	1.8	1.5	1.6	2.2	2.2	1.8	2.1	1.9	1.7
Net trade		(pp., a.r.)	-4.7	4.8	1.6	-0.2	-1.3	-1.3	-0.2	-0.1	-0.1	-0.1	-0.1	-0.1	-0.2	-0.2	-0.2	0.4	-0.8	-0.1
Inventories		(pp., a.r.)	2.6	-3.4	-0.1	0.1	0.4	0.8	0.2	0.1	0.1	0.1	0.1	0.0	-0.1	0.0	0.2	-0.1	0.3	0.1
		As noted																		
Unemployment rate		(%)	4.1	4.2	4.3	4.5	4.3	4.3	4.2	4.1	4.0	3.9	3.9	3.9	4.3	4.2	3.9			
Nonfarm payrolls		(000s)	20	34	23	-39	68	75	90	120	100	90	90	90	10	88	90			
Housing starts		(000s, a.r.)	1401	1354	1346	1323	1419	1410	1430	1420	1400	1390	1390	1380	1356	1420	1390			
Consumer prices		(%, y-o-y)	2.7	2.5	2.9	2.7	2.7	4.0	3.8	3.8	3.4	2.0	1.9	1.9	2.7	3.6	2.3			
Core CPI		(%, y-o-y)	3.1	2.8	3.1	2.7	2.5	2.8	2.7	2.9	2.6	2.5	2.4	2.4	2.9	2.8	2.6			
PCE Deflator		(%, y-o-y)	2.6	2.4	2.7	2.8	3.1	3.9	3.9	3.7	3.1	2.2	2.1	2.1	2.6	3.6	2.4			
Core PCE		(%, y-o-y)	2.8	2.7	2.9	2.9	3.1	3.4	3.3	3.3	2.9	2.6	2.5	2.4	2.8	3.3	2.6			
Federal budget		(% GDP)													-5.8	-6.4	-6.5			
Current account balance		(% GDP)													-3.7	-3.7	-3.8			
Fed securities portfolio		(\$trn)	6.32	6.24	6.19	6.15	6.27	6.36	6.42	6.48	6.54	6.60	6.66	6.72	6.15	6.48	6.72			
Fed funds target midpoint		(%)	4.375	4.375	4.125	3.625	3.625	3.625	3.375	3.125	3.125	3.125	3.125	3.125	3.625	3.125	3.125			
TSY 2-year note		(%)	3.89	3.72	3.60	3.47	3.79	3.85	3.60	3.45	3.40	3.50	3.50	3.50	3.47	3.45	3.50			
TSY 5-year note		(%)	3.96	3.79	3.74	3.73	3.92	4.00	3.80	3.55	3.60	3.70	3.80	3.80	3.73	3.55	3.80			
TSY 10-year note		(%)	4.23	4.24	4.16	4.18	4.30	4.40	4.30	4.25	4.25	4.25	4.30	4.30	4.18	4.25	4.30			

Note: The unemployment rate is a quarterly average as a percentage of the labor force. Nonfarm payrolls are average monthly changes during the period. Inflation measures and calendar year GDP are year-over-year percent changes. The GDP measures in the last column refer to Q4/Q4. The Fed securities portfolio is end-of-period. The annual interest rate forecasts are end-of-period. Housing starts are period averages. Numbers in bold are actual values. Table reflects data available as of 15 May 2026. All Nomura forecasts are modal.

Source: BEA, BLS, Census Bureau, FRB, Haver, Nomura

Week in Review

Fig. 14: Weekly data tracker and its decomposition



Note: We estimate a latent factor that contributes the most to the total variance of 13 daily and weekly US indicators covering industrial and consumer sectors via principal component analysis (i.e., the first principal component). We calibrate this factor to track four-quarter changes in real GDP.

Source: AAR, Baker Hughes, DOL, EIA, EEI, MBA, PolicyUncertainty, Redbook Research, SF Fed, Haver Analytics, Nomura

First Insights - US: April PPI lowered our core PCE forecast

Economic Insights - US: Monthly Inflation Monitor

Fig. 15: Economic Data Calendar

	Mon 18 May	Tue 19 May	Wed 20 May	Thu 21 May	Fri 22 May
North America	US NAHB housing mkt index (May) Index 34, 35, 34	US Pending home sales (Apr) % m-o-m 1.5, 1.0, 1.6	US FOMC meeting minutes (Apr)	US Housing starts (Apr) % m-o-m 10.8, -4.8, -5.5	US U of M consumer sent. (May-F) Index 48.2, 48.4, n.a.
				US Building permits (Apr-P) % m-o-m -11.4, 2.0, 1.6	US S&P Mfg. PMI (May-P) Index 54.5, n.a., n.a.
				CAN CPI Core - Trim (Apr) % y-o-y 2.2, n.a., n.a.	US S&P Services PMI (May-P) Index 51.0, n.a., n.a.
Europe (ex-UK)	Swedish Infl. Expect.		GER Producer prices (Apr) % m-o-m 2.5, n.a., n.a.	EUR PMI Composite (May P) Index 48.8, 47.7, n.a.	EUR Negotiated wages (1Q) % y-o-y 2.9, 2.5, n.a.
				GER PMI Composite (May P) Index 48.4, 47.4, n.a.	GER IFO Current (May) Index 85.4, 84.8, n.a.
				FRA PMI Composite (May P) Index 47.6, 46.1, n.a.	GER IFO Expectations (May) Index 83.3, 82.5, n.a.
				EUR Cons. Conf. (May P) Index -20.6, -22.4, n.a.	FRA Insee Biz conf. (May) Index 94.0, 93.4, n.a.
				European Comm. Forecasts	GER Consumer confidence (Jun) Index -33.3, n.a., n.a.
United Kingdom	Rightmove House Px (May) % y-o-y -0.9, n.a., n.a.	AWE 3Mths (Mar) % y-o-y 3.8, 3.8, n.a.	CPI (Apr) % y-o-y 3.3, 2.8, n.a.	PMI Composite (May P) Index 52.6, 51.2, n.a.	GfK Cons. Conf. (May) Index -25, -28, n.a.
		AWE ex Bonus 3Mths (Mar) % y-o-y 3.6, 3.4, n.a.	Core CPI (Apr) % y-o-y 3.1, 2.4, n.a.	CBI Trends Total Orders (May) Index -38, n.a., n.a.	CGNCR-ex (Apr) GBP bn 28.0, 22.0, n.a.
		Unempl Rate 3Mths (Mar) % 4.9, 4.9, n.a.	Services CPI (Apr) % y-o-y 4.5, 3.4, n.a.		PSNB ex (Apr) GBP bn 12.6, 21.0, n.a.
		Empl. Change 3Mths (Mar) k 25, 150, n.a.	PPI Output (Apr) % m-o-m 0.9, 1.5, n.a.		Retail Sales Ex Fuel (Apr) % m-o-m 0.2, -0.2, n.a.
		Payrolls m/m (Apr) k -11, -10, n.a.	PPI Input (Apr) % m-o-m 4.4, 3.5, n.a.		
CEEMEA	Türkiye Consumer confidence (May) Index 85.5, n.a, n.a.		Czech R. PPI (Apr) % y-o-y 0.7, n.a., n.a.	Poland Average Gross Wages (Apr) % 6.6, n.a., 6.0	Türkiye Trade Balance (Apr) USD bn -11.2, -8.5, n.a.
	Türkiye Unemployment rate (Apr) % 8.1, n.a., n.a.		S. Africa CPI (Apr) % y-o-y 3.1, n.a., 3.9	Poland PPI (Apr) % y-o-y -0.8, n.a., -0.1	Türkiye Real sector confidence (May) Index 98.6, n.a, n.a.
	Poland CPI Core (Apr) % y-o-y 2.7, n.a., 2.9		S. Africa CPI Core (Apr) % y-o-y 3.2, n.a., 3.6		Türkiye Capacity Utilization (May) % 73.8, n.a, n.a.
					Türkiye Foreign Tourist Arrivals (Apr) %y-o-y 5.0, n.a., n.a.
Japan		GDP (Q1-fir) % q-o-q saar 1.3, 1.0, n.a.	Bond Market Survey (May) % points -26, n.a., n.a.	Exports (Apr) % y-o-y 11.5, 9.6, n.a.	All-Japan Core CPI (Apr) % y-o-y 1.8, 1.6, n.a.
		Tertiary industry activity index (Mar) % m-o-m -0.4, -0.5, n.a.		Machinery orders (Mar) % m-o-m 13.6, -18.9, n.a.	
				PMI Manufacturing (May) Index 55.1, n.a., n.a.	
Asia ex-Japan	Singapore NODX (Apr) % y-o-y 15.3, 10.3, 11.6	Malaysia CPI (Apr) % y-o-y 1.7, 1.9, 1.9	Malaysia Exports (Apr) % y-o-y 8.3, 6.8, 9.3	S. Korea Exports 20 days (May) % y-o-y 49.4, 64.4, n.a.	Indonesia Current account balance (Q1) USD mn -2542.0, -4274.0, n.a.
	China Retail sales (Apr) % y-o-y 1.7, 2.0, 2.0		Indonesia BI rate (May) % 4.75, 5.00, 5.00	Hong Kong CPI (Apr) % y-o-y 1.7, 2.0, 1.9	
	China Industrial production (Apr) % y-o-y 5.7, 5.2, 6.0				
	Thailand Real GDP (Q1) % y-o-y 2.5, 2.7, 2.2				

Source: Bloomberg, Reuters, Nomura Global Economics.

Appendix A-1

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